Texas - Claims Handling Regulations Summary

Cardinal Ridge Insurance Group | Document CRIG-REG-TX | Effective 2026-01-01 | Version 3.1

FICTIONAL DOCUMENT - created for a software demonstration. Cardinal Ridge Insurance Group does not exist. Legal and regulatory content is simplified and is NOT legal advice.

1. Legal source (simplified)

Texas Prompt Payment of Claims Act (Tex. Ins. Code ch. 542). This summary uses simplified, fictionalised figures for demonstration. Always confirm with Compliance.

2. Claim-handling clocks

Milestone	Texas standard	Clock type
Acknowledge the claim	15 days	business
Accept or deny the claim	15 days after proof of loss / notice	business
Pay an accepted claim	5 days	business

A missed clock is a BREACH: the claim becomes NON-COMPLIANT, late-payment interest may accrue and the file must be escalated to Compliance.

3. State-specific notes

Request additional information within 15 business days; if more time is needed the insurer must tell the claimant why. Late payment carries statutory interest. Hail and wind claims may carry a separate percentage deductible; named-hurricane deductible 2%.

4. Required actions when a clock is at risk

• Send a written status / extension letter explaining what is still needed.

• Escalate to the Claims Manager when fewer than 3 days remain.

• Record the reason for any delay in the claim notes; accrue interest in the reserve where applicable.

• A pending SIU investigation does NOT pause the state clock.